Airbus

€10bn is a milestone, not the destination

Reiterate Rating: BUY | PO: 258.00 EUR | Price: 209.60 EUR

€10bn Commercial EBIT Is a Mid-Term Stepping Stone

Airbus used its CMD to introduce a €10bn Commercial Aircraft EBIT target. While this was in line with our expectations, we believe the target remains conservative. We see four areas of upside: (1) widebody profit assumptions appear cautious; (2) A320 outlook implies little improvement in profit per aircraft despite higher volumes/strong leverage; (3) R&D guidance reflects the upper end of the likely range; and (4) the target assumes a EUR/USD rate of 1.22 versus fwd of 1.19. The €10bn target as an important milestone that will shift investor focus towards Airbus' mid-term earnings power, but ultimately we see further upside. We roll our model to 2035, include A350-2000 EIS in 2032 ramping to 17/mnth by 2035. We are confident in our ests which are ahead of the 2029 guide. We tweak our ests for Buyback & A350, PO still €258 (ADR from $76.11 to $75.02 on FX). We reit Buy.

A350 Production Could Rise to 16-18 Aircraft per Month

Following a decade of subdued widebody demand, supply-demand dynamics remain exceptionally tight. Our SD model through 2035 suggests the market could support production rates of 16-18 aircraft per month for both the A350 and 787. At 17 aircraft per month and a normalized low- to mid-teens EBIT margin before R&D, the A350 could drive c.€3-5bn of EBIT Pre R&D by 2032-34 depending on execution & A350-2000 ramp.

Next-Gen Single Aisle: Rebalancing Industry Economics

One of the most notable CMD messages was Airbus' ambition to rebalance economics between OE and aftermarket on the next-generation single-aisle. We believe this is primarily about securing a stake in a future engine programme. While investor views remain mixed, RTX's 2Q earnings call was notable in acknowledging that the industry's economic model may need to evolve and that preliminary discussions have begun.

Airbus and Rolls-Royce Could Align Their Interests

A meaningful stake in a future narrowbody engine would increase Airbus' exposure to aftermarket and could be a valuation catalyst. Any change in economics should be difficult, but Airbus has leverage given the importance of platform access. This aligns with Rolls-Royce's desire to re-enter the narrowbody market. As a result, we see scope for Airbus and Rolls to use each other to secure a larger share of future NB engine economics.

Estimates (Dec) (EUR)	2024A	2025A	2026E	2027E	2028E
EPS (Adjusted)	5.42	7.94	7.30	8.29	11.3
EPS Change (YoY)	-14.9%	46.4%	-8.1%	13.6%	36.5%
Dividend / Share	2.00	3.20	2.92	3.31	4.52
ADR EPS (Adjusted - US$)	1.47	2.24	2.08	2.36	3.22
ADR Dividend / Share (US$)	0.54	0.90	0.83	0.94	1.29
Valuation (Dec)					
P/E	38.7x	26.4x	28.7x	25.3x	18.5x
Dividend Yield	0.95%	1.53%	1.39%	1.58%	2.16%
EV / EBITDA*	20.7x	16.3x	14.9x	13.7x	11.2x
Free Cash Flow Yield*	2.39%	2.71%	2.75%	3.85%	5.24%

* For full definitions of *iQmethod℠* measures, see page 12.

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Refer to important disclosures on page 13 to 16. Analyst Certification on page 10. Price Objective Basis/Risk on page 10. **12999073**

Timestamp: 27 July 2026 11:45AM EDT

27 July 2026

Equity

Key Changes

(EUR)	Previous	Current
2026E Rev (m)	77,425.2	77,721.9
2027E Rev (m)	85,746.9	86,845.4
2028E Rev (m)	94,610.1	96,458.6
2026E EPS	7.12	7.30
2027E EPS	8.10	8.29
2028E EPS	11.49	11.31
2026E DPS	3.56	2.92

Benjamin Heelan >>
Research Analyst
Merrill Lynch (DIFC)
+44 20 7996 5723
benjamin.heelan@bofa.com

David Holmes, CFA >>
Research Analyst
MLI (UK)
+44 20 7995 1077
david.a.holmes@bofa.com

Lorenzo Di Patrizi >>
Research Analyst
MLI (UK)
+44 20 7995 7626
lorenzo.dipatrizi@bofa.com

Ronald J. Epstein
Research Analyst
BofAS
+1 646 855 5695
r.epstein@bofa.com

Stock Data

Price (Common / ADR)	209.60 EUR / 58.33 USD
Price Objective	258.00 EUR / 75.02 USD
Date Established	5-Jun-2026 / 27-Jul-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	157.42 EUR-221.30 EUR
Market Value (mn)	164,608 EUR
Shares Outstanding (mn)	785.3 / 3,141.4
Average Daily Value (mn)	274.66 USD
Free Float	72.0%
BofA Ticker / Exchange	EADSF / ENP
BofA Ticker / Exchange	EADSY / OTU
Bloomberg / Reuters	AIR FP / AIR.PA
ROE (2026E)	20.8%
Net Dbt to Eqty (Dec-2025A)	-49.5%

iQprofile℠ Airbus

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(EUR Millions)					
Sales	69,230	73,420	77,722	86,845	96,459
EBITDA Adjusted	8,979	11,390	12,422	13,499	16,625
Depreciation & Amortization	(2,853)	(3,133)	(3,657)	(3,772)	(3,891)
EBIT Adjusted	6,126	8,257	8,765	9,727	12,733
Net Interest & Other Income	121	268	(48.3)	(15.0)	33.2
Tax Expense / Benefit	(1,347)	(1,390)	(2,077)	(2,345)	(3,170)
Net Income (Adjusted)	4,282	6,267	5,727	6,443	8,655
Average Fully Diluted Shares Outstanding	790	790	785	777	765
Key Cash Flow Statement Data					
Net Income (Reported)	4,232	5,221	5,654	6,370	8,582
Depreciation & Amortization	2,853	3,133	3,657	3,772	3,891
Change in Working Capital	1,337	100	(300)	500	500
Deferred Taxation Charge	0	0	0	0	0
Other CFO	(1,089)	(465)	(924)	(660)	(711)
Cash Flow from Operations	**7,333**	**7,989**	**8,087**	**9,982**	**12,263**
Capital Expenditure	(3,669)	(3,964)	(3,952)	(4,102)	(4,252)
(Acquisition) / Disposal of Investments	(587)	326	0	0	0
Other CFI	98.0	69.0	0	0	0
Cash Flow from Investing	**(4,158)**	**(3,569)**	**(3,952)**	**(4,102)**	**(4,252)**
Share Issue / (Repurchase)	(276)	(565)	(1,000)	(2,000)	(3,000)
Cost of Dividends Paid	(2,216)	(2,374)	(2,519)	(2,284)	(2,561)
Increase (decrease) debt	688	(30.0)	(500)	(500)	(500)
Other CFF	(3,030)	(2,708)	0	0	0
Cash Flow from Financing	**(4,834)**	**(5,677)**	**(4,019)**	**(4,784)**	**(6,061)**
Total Cash Flow (CFO + CFI + CFF)	**(1,659)**	**(1,257)**	**116**	**1,097**	**1,950**
FX and other changes to cash	3,245	1,611	387	387	387
Change in Cash	1,586	354	503	1,484	2,337
Change in Net Debt	(898)	(384)	(1,003)	(1,984)	(2,837)
Net Debt	(12,585)	(12,969)	(13,972)	(15,956)	(18,792)
Key Balance Sheet Data					
Property, Plant & Equipment	19,112	20,893	21,777	22,696	23,645
Goodwill	13,449	13,556	13,556	13,556	14,180
Other Intangibles	3,730	3,291	2,702	2,113	1,524
Other Non-Current Assets	14,458	13,555	13,140	12,671	12,037
Trade Receivables	5,293	5,454	5,454	5,454	5,454
Cash & Equivalents	26,864	27,218	27,721	29,205	31,541
Other Current Assets	46,246	50,909	52,409	52,909	53,409
Total Assets	129,152	134,876	136,759	138,603	141,790
Long-Term Debt	10,355	9,063	8,563	8,063	7,563
Other Non-Current Liabilities	21,193	15,269	13,734	12,911	13,079
Short-Term Debt	3,924	5,186	5,186	5,186	5,186
Other Current Liabilities	73,984	79,174	80,374	81,374	82,374
Total Liabilities	109,456	108,692	107,857	107,534	108,202
Total Equity	19,696	26,184	28,902	31,069	33,599
Total Equity & Liabilities	129,152	134,876	136,759	138,603	141,800
Business Performance*					
Return On Capital Employed	11.1%	14.1%	13.8%	14.8%	18.2%
Return On Equity	23.0%	27.4%	20.8%	21.5%	26.8%
Operating Margin	7.66%	8.28%	9.96%	10.0%	12.1%
Free Cash Flow (MM)	3,958	4,481	4,522	6,267	8,398
Quality of Earnings*					
Cash Realization Ratio	1.71x	1.27x	1.41x	1.55x	1.42x
Asset Replacement Ratio	1.86x	1.81x	1.46x	1.45x	1.44x
Tax Rate	24.8%	21.9%	27.0%	27.0%	27.0%
Net Debt/Equity	-63.9%	-49.5%	-48.3%	-51.4%	-55.9%
Interest Cover	6.81x	10.7x	11.6x	13.2x	17.8x

* For full definitions of *iQmethod*℠ measures, see page 12.

Company Sector

Aerospace

Company Description

Airbus is a global leader in aerospace, defence and related services. Airbus Commercial, the primary division (73% FY23 sales), specializes in commercial aircraft production (100+ seat market - duopoly with Boeing). The other core divisions are Airbus Helicopters (previously Eurocopter 1% FY23 sales), a leader in commercial helicopters, and Airbus Defence & Space (17% FY23 sales, previously Airbus military aircraft, Astrium and Cassidian).

Investment Rationale

2026 has seen strong improvement in the supply chain, and despite year end timing challenges, we expect this to continue into 2027. We see a strong step up in deliveries over the next 2-3 years driving solid margin expansion and improved cash return to shareholders.

Stock Data

Shares / ADR	0.25
Price to Book Value	5.7x

Key Changes

(US$)	Previous	Current
Price Obj.	76.11	75.02
2026E EPS	2.03	2.08
2027E EPS	2.31	2.36
2028E EPS	3.27	3.22
2026E DPS	1.01	0.83

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€10bn Commercial EBIT Is a Mid-Term Stepping Stone

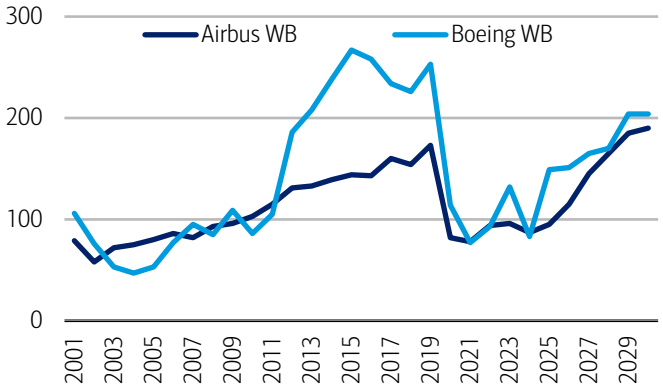
Airbus used its CMD to introduce a €10bn Commercial Aircraft EBIT target. While this was in line with our expectations, we believe the target remains conservative. We see four areas of upside: (1) widebody profit assumptions appear overly cautious; (2) the A320 outlook implies little improvement in profit per aircraft despite higher volumes and strong operational leverage; (3) R&D guidance appears to reflect the upper end of the likely range; and (4) the target assumes a EUR/USD rate of 1.22 versus forwards of 1.19. We view the €10bn target as an important milestone that should shift investor focus towards Airbus' mid-term earnings power, but ultimately see further upside.

A350 Production Could Rise to 16-18 Aircraft per Month

Airbus highlighted the potential for further A350 production increases. Following a decade of subdued widebody demand, supply-demand dynamics remain exceptionally tight. Our model through 2035 suggests the market could support production rates of 16-18 aircraft per month for both the A350 and 787. At 18 aircraft per month and a normalized low- to mid-teens EBIT margin before R&D, the A350 could generate c.€3-5bn of EBIT by 2032-34. We believe this underlines the earnings potential well beyond 2030.

Current widebody (WB) production rates across Airbus & Boeing are significantly below the 2014-19 average but we see a strong production increase through the end of the decade. Despite this strong increase, we believe the widebody market will remain in a period of undersupply through 2030 given the aging of the widebody fleet (currently >1000 widebody aircraft over 23 years old, and 100-130 aircraft hitting that age per annum over the next 5 years.

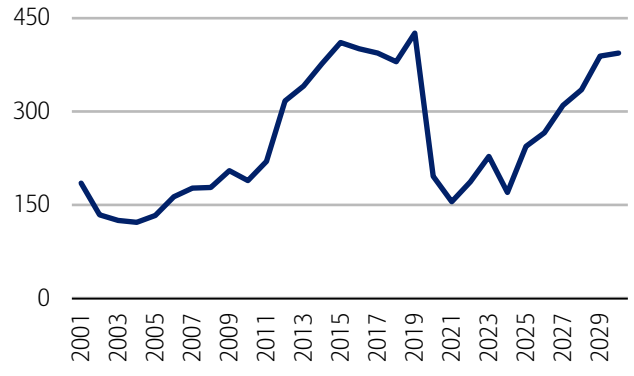
Exhibit 1: Airbus & Boeing Widebody Production
We see a strong ramp of Airbus and Boeing widebody production over the next 5 years



Source: BofA Global Research estimates, Cirium

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Exhibit 2: Combined Airbus & Boeing WB Production
By 2030 we see the combined Airbus and Boeing production getting back to pre COVID levels, but with upside beyond 2030.



Source: BofA Global Research estimates, Cirium

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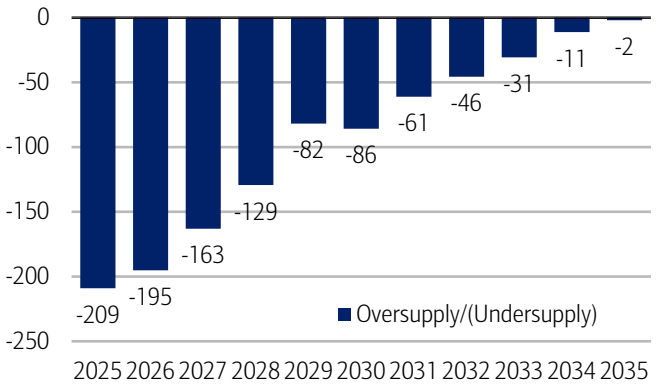
This is >20% of the passenger fleet up for retirement through 2030, and doesn't include the A380, which comes up for retirement in the 2030s and will clearly take a significant amount of seat capacity out relative to other widebodies. As a result, the current widebody rates are likely set for the next 5 years, but we see clear upside medium term beyond the 2030s with A350 potential for c.16-18/mnth.

As the A380 and the older 777s near retirement, we expect stretched widebody aircraft to become a growing debate. At the Dubai Airshow, Emirates CEO Tim Clarke stated that the A350-1000 is currently too small for the airline's needs, preventing any commitment to the aircraft. The planned mid-term retirement of the A380 creates a gap for airlines dependent on large aircraft, likely driving demand for models with 360+ seats. We think the business case to stretch the A350 is supported by volume, if they can manage risk

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on the engine, and so the debate likely centres on if the engine is clean sheet or derivative. We imagine that a derivative of the XWB would by preferred to manage risk, but the question is what impact does this have on durability mid-term with higher pressure and temperature ratios.

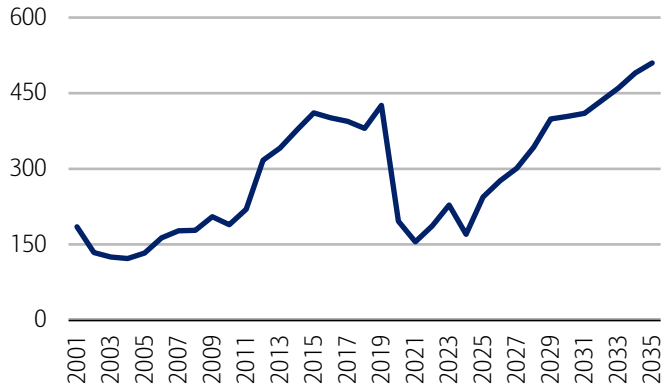
Exhibit 3: Long term widebody market under supply
We see the widebody market under supplied through 2035 even assuming continued ramps on both the A350 and the 787



Source: BofA Global Research estimates

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Exhibit 4: BofA Long-term WB production forecasts
We see the widebody market under supplied through 2035 even assuming continued ramps on both the A350 and the 787



Source: BofA Global Research estimates

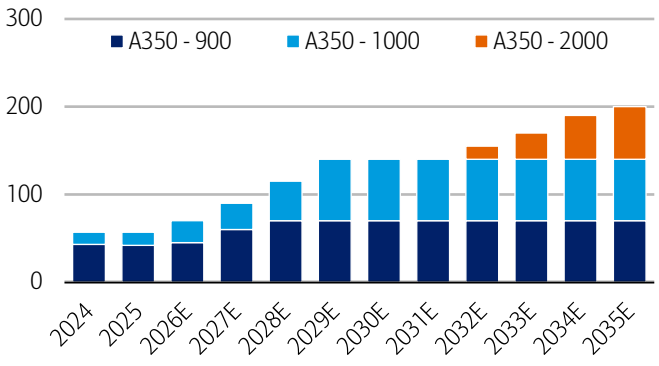
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We model A350-2000 introduction in 2032

A key change to our forecasts is the introduction of the A350-2000, which we assume enters service in 2032 and ramps progressively thereafter. Under our assumptions, Airbus delivers 15 A350-2000s in 2032, increasing to 30 in 2033, 50 in 2034 and 60 in 2035, driving total A350-family deliveries from 140 aircraft in 2031 to 155 in 2032, 170 in 2033 and 200 by 2035. While the initial introduction temporarily weighs on programme efficiency, as reflected in the learning-curve reset and higher unit costs during the early years of production, the earnings impact is more than offset by the mix benefit from a larger, higher-value variant mid-term.

As production scales, A350 revenues increase from c.€19.6bn in 2031 to over €31.7bn by 2035, while A350 EBIT rises from c.€2.0bn to c.€5.0bn over the same period. EBIT per aircraft expands materially from €14.1m in 2031 to €25.0m by 2035, reflecting both volume leverage and improving programme economics. Consequently, the A350 becomes an increasingly important contributor to group earnings in the outer years of the forecast, providing a meaningful source of incremental EBIT growth beyond the A320 production ramp and supporting upside to long-term consensus expectations.

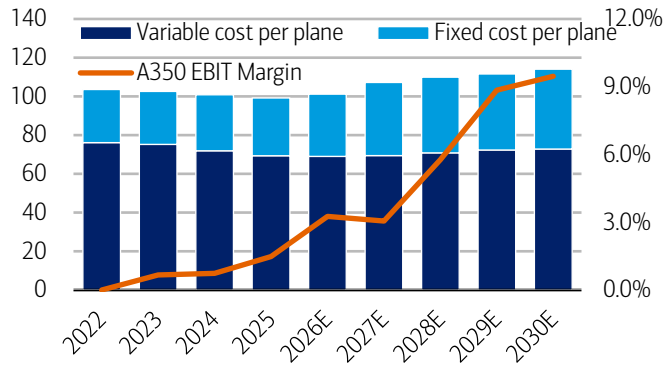
Exhibit 5: BofA A350 delivery forecasts
We now assume entry into service of the A350-2000 in 2032



Source: BofA Global Research estimates

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Exhibit 6: BofA A350 Earnings forecasts
Volume is the key driver of the ramp in margin through the next 5 years



Source: BofA Global Research estimates

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Exhibit 7: BofA A350 Model
We see a strong ramp in profitability mid-term. Fixed cost will likely continue to grow strongly as Airbus will need to build out a new FAL for the -2000

A350 Model (EURUSD 1.29)	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Deliveries																						
A350 - 900	1	14	49	78	79	87	45	49	52	52	43	42	45	60	70	70	70	70	70	70	70	70
A350 - 1000	0	0	0	0	14	25	14	6	10	12	14	15	25	30	45	70	70	70	70	70	70	70
																	0	0	15	30	50	60
Total Deliveries	1	14	49	78	93	112	59	55	62	64	57	57	70	90	115	140	140	140	155	170	190	200
Cumulative Deliveries	1	15	64	142	235	347	406	461	523	587	644	701	771	861	976	1,116	1,256	1,396	1,551	1,721	1,911	2,111
Growth in Cumulative Deliveries		1400%	327%	122%	65%	48%	17%	14%	13%	12%	10%	9%	10%	12%	13%	14%	13%	11%	11%	11%	11%	10%
Learning Curve		85%	85%	85%	85%	85%	85%	85%	85%	90%	90%	90%	95%	105%	115%	115%	105%	105%	140%	140%	140%	140%
YoY Improvement in unit Costs		210%	49%	18%	10%	7.1%	2.6%	2.0%	2.0%	1.2%	1.0%	0.9%	0.5%	-0.6%	-2.0%	-2.2%	-0.6%	-0.6%	-4.4%	-4.4%	-4.4%	-4.2%
Average Price ($m)																						
A350 - 900	133	134	137	145	148	149	150	150	150	150	151	151	152	156	161	166	171	176	181	186	190	194
A350 - 1000	0	0	0	0	158	158	158	158	158	158	158	158	161	165	170	175	180	185	191	197	200	205
													0	0	180	185	191	197	203	209	213	217
Revenues ($m)	133	1876	6713	11310	13904	16933	8962	8298	9380	9696	8705	8712	10843	14301	18881	23814	24528	25264	29061	33063	37981	40911
Revenues (EURm)	99	1395	5142	8767	11123	13126	6947	6433	7271	7516	6748	6753	8405	11086	14637	18460	19014	19584	22528	25630	29442	31714
Cost (EURmn)		2495	6442	9717	10623	12226	6747	5833	6421	6566	5748	5653	7081	9647	12643	15626	15965	16310	18215	20441	23256	25158
Fixed		624	1610	2429	2656	3056	1680	1420	1700	1750	1650	1700	2250	3400	4500	5500	5775	6064	6367	6876	7426	7798
Variable		1871	4831	7288	7967	9169	5067	4413	4721	4816	4098	3953	4831	6247	8143	10126	10190	10247	11848	13565	15830	17361
Variable cost per aircraft (EURmn)		134	99	93	86	82	86	80	76	75	72	69	69	69	71	72	73	73	76	80	83	87
YoY			26%	5%	8%	4%	-5%	7%	5%	1.2%	4.5%	3.5%	0.5%	-0.6%	-2.0%	-2.2%	-0.6%	-0.6%	-4.4%	-4.4%	-4.4%	-4.2%
Gross Profit	99	-1100	-1300	-950	500	900	200	600	850	950	1000	1100	1324	1439	1994	2834	3049	3274	4313	5189	6186	6556
Allocated SG&A & D&A	-600	-700	-800	-900	-900	-900	-700	-800	-850	-900	-950	-1000	-1050	-1100	-1150	-1200	-1250	-1300	-1350	-1400	-1500	-1550
A350 Cash EBIT	-650	-1800	-2100	-1850	-400	0	-500	-200	0	50	50	100	274	339	844	1634	1799	1974	2963	3789	4686	5006
EBIT Margin		-129%	-41%	-21%	-4%	0.0%	-7.2%	-3.1%	0.0%	0.7%	0.7%	1.5%	3.3%	3.1%	5.8%	8.9%	9.5%	10.1%	13.2%	14.8%	15.9%	15.8%
YoY Bridge tailwind (EURmn)			-300	250	1450	400	-500	300	200	50	0	50	174	65	505	790	165	175	988	827	897	320
EBIT per aircraft		-128.6	-42.9	-23.7	-4.3	0.0	-8.5	-3.6	0.0	0.8	0.9	1.8	3.9	3.8	7.3	11.7	12.9	14.1	19.1	22.3	24.7	25.0

Source: BofA Global Research estimates

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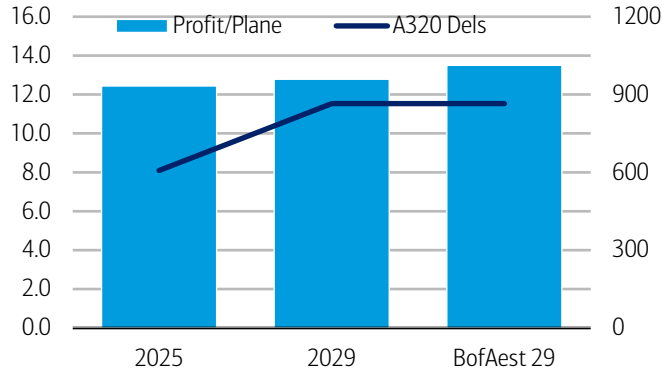
A320 – where is the leverage?

Another key area of upside, in our view, is the A320 programme profitability outlook. Airbus' medium-term guidance implies only a modest increase in EBIT per aircraft despite significantly higher production volumes and the associated operational leverage.

For 2025, assuming c.€430m of Services EBIT (pre-R&D) and broadly breakeven contributions from the A350, A330 and A220 programmes, we estimate the A320 family generated approximately €7.5bn of EBIT pre-R&D, equivalent to c.€12.4m per aircraft delivered. Based on the targets outlined at the CMD, this increases only marginally to c.€12.8m per aircraft by 2029.

We believe this appears conservative. Over the last 12–18 months, incremental profit conversion on A320/A321 deliveries has been running at approximately €16–18m per aircraft. Applying this level of drop-through to a production ramp of roughly 50% would imply EBIT per aircraft more in the region of €13.5–14.0m, suggesting meaningful upside to the current medium-term profit assumptions.

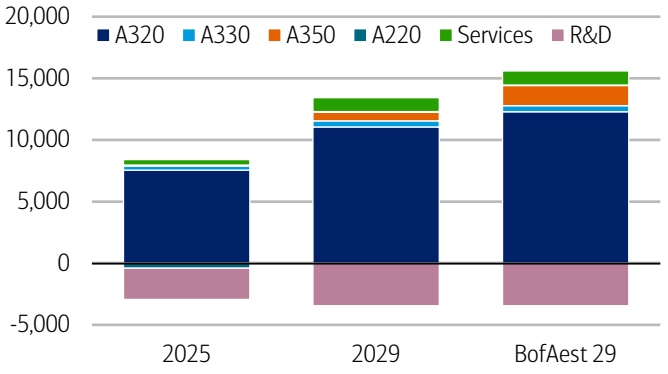
Exhibit 8: Airbus vs. BofA implied A320 profit per plane
We see better A320 per plane profitability mid-term than Airbus guidance



Source: BofA Global Research estimates

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Exhibit 9: Airbus vs. BofA EBIT breakdown 2025 vs. 2029
A320 is a bigger component of our earnings as a result of higher A320 profit



Source: BofA Global Research estimates

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Next-Gen Single Aisle: Rebalancing Industry Economics

One of the most notable CMD messages was Airbus' ambition to rebalance economics between OE and aftermarket on the next-generation single-aisle. We believe this is primarily about securing a stake in a future engine programme. While investor views remain mixed, RTX's 2Q earnings call was notable in acknowledging that the industry's economic model may need to evolve and that preliminary discussions have begun.

Airbus and Rolls-Royce Could Align Their Interests

A meaningful stake in a future narrowbody engine would increase Airbus' exposure to aftermarket and could be a valuation catalyst. Any change in economics will be difficult, as it requires redistribution of value, but Airbus has leverage given the importance of platform access. This ambition also aligns with Rolls-Royce's desire to re-enter the narrowbody market. As a result, we see scope for Airbus and Rolls-Royce to leverage their respective positions to secure a larger share of future engine economics.

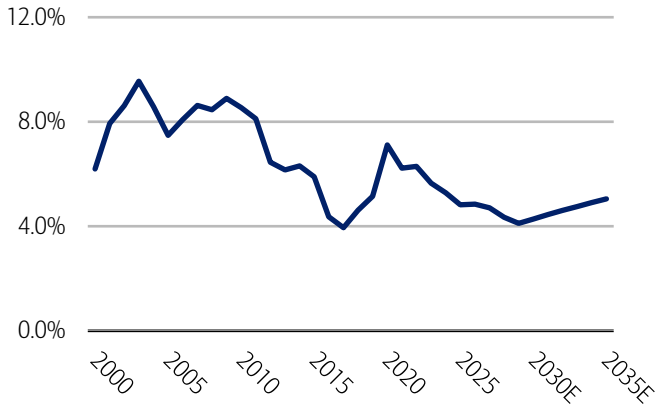
R&D stepping up but not a margin headwind

Airbus has announced a Group R&D target of c.€5bn by the end of the decade. The company is currently in the middle of the A350 freighter programme and has publicly discussed both the A350-2000 and A220-500. While both aircraft would theoretically be derivatives and therefore materially cheaper than clean-sheet programmes, we still think each is likely to cost €3-5bn excluding engines, given the increase in certification costs and complexity over the past decade.

A350-2000 announcement likely within 12 months

As we have highlighted above we model the A350-2000 entering service in 2032 and expect the programme to be announced within the next 12 months. We believe it will require a new final assembly line, which we assume could be located in the US given ongoing uncertainty around tariffs. As a result, we model a continued step-up in capex over the medium term. We do not currently model the A220-500 in deliveries, as we believe the launch decision will be driven by the A220 programme reaching breakeven, which we now expect in 2029-30 but we have included it in our R&D to be conservative.

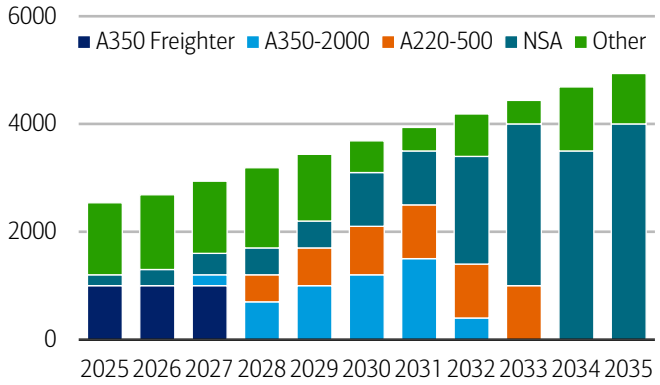
Exhibit 10: Airbus Long term R&D to Sales
We see Airbus Commercial R&D/Sales remaining <5% of sales



Source: BofA Global Research estimates

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Exhibit 11: BofAest breakdown of Airbus Commercial R&D
There is lots of scope to deliver on A350 and A220 stretch, whilst preparing for the NSA in our view within the Airbus Commercial R&D outloojk



Source: BofA Global Research estimates

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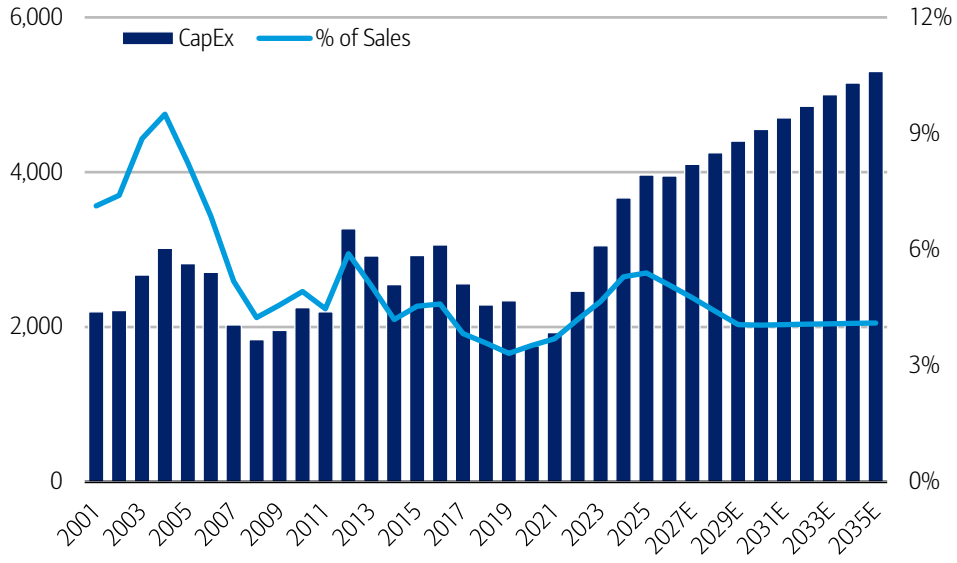
Commercial R&D reaching €3.5bn in 2029

We model Commercial Aircraft capex of €3.5bn in 2029, driven primarily by the A320-2000, alongside early studies on the A220-500 and the next-generation single-aisle aircraft. We remain of the view that the NSA decision currently targeted for 2030 will be pushed to the right, although Airbus is already investing in the programme, having announced a flight test of its "Wing of Tomorrow" at Farnborough last week. We see R&D continuing to step up in 2030-31, driven by A350-2000 certification, before

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stabilising as a % of sales as the NSA becomes an increasingly large share of the R&D mix ahead of an EIS later in the decade.

Exhibit 12: Airbus CapEx and CapEx/Sales
Airbus CapEx should step up as they develop the new derivative programmes and prepare for the Next Gen Single Ailse aircraft



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

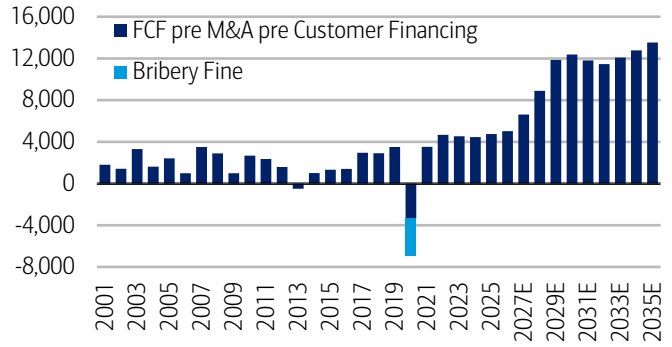
More R&D-intensive, but manageable as a % of sales

As a result, we expect Airbus Commercial R&D-to-sales to remain in the high-4% range over the next five to eight years. Airbus is clearly moving into a more R&D-intensive environment over the next three to four years, but we see this as very manageable and materially different from the intense investment period experienced between 2002 and 2015.Similar for CapEx, the NSA and the A350 will require CapEx over the next few years, but we see this as very manageable within a stable CapEx/sales of 4%.

FCF to step up into a new plateau

As a result of the ramp in earnings growth across the business, and the steady R&D and CapEx to sales, we see FCF reaching a new steady plateau of c.€12bn for the 2029-2035 period. This provides significant optionality for the group in terms of both share holder returns and M&A in the defence business.

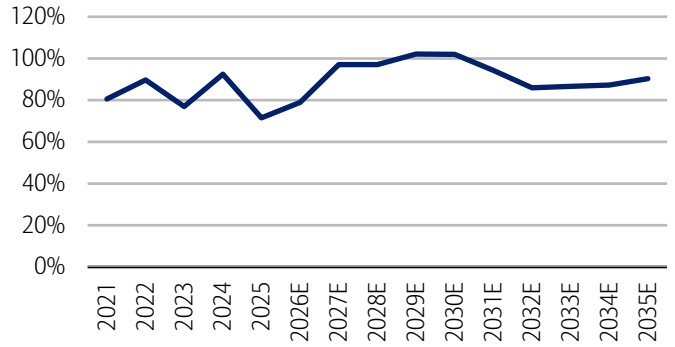
Exhibit 13: Airbus FCF Pre M&A and Customer Financing Mid-term
We see FCF reaching a new steady plateau of c.€12bn for the 2029-2035 period



Source: BofA Global Research estimates

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Exhibit 14: Airbus long term FCF/Net Income (BofA def)
Cash conversion will sustainably be 90-100% on BofA Def (inc pension and inc customer financing)



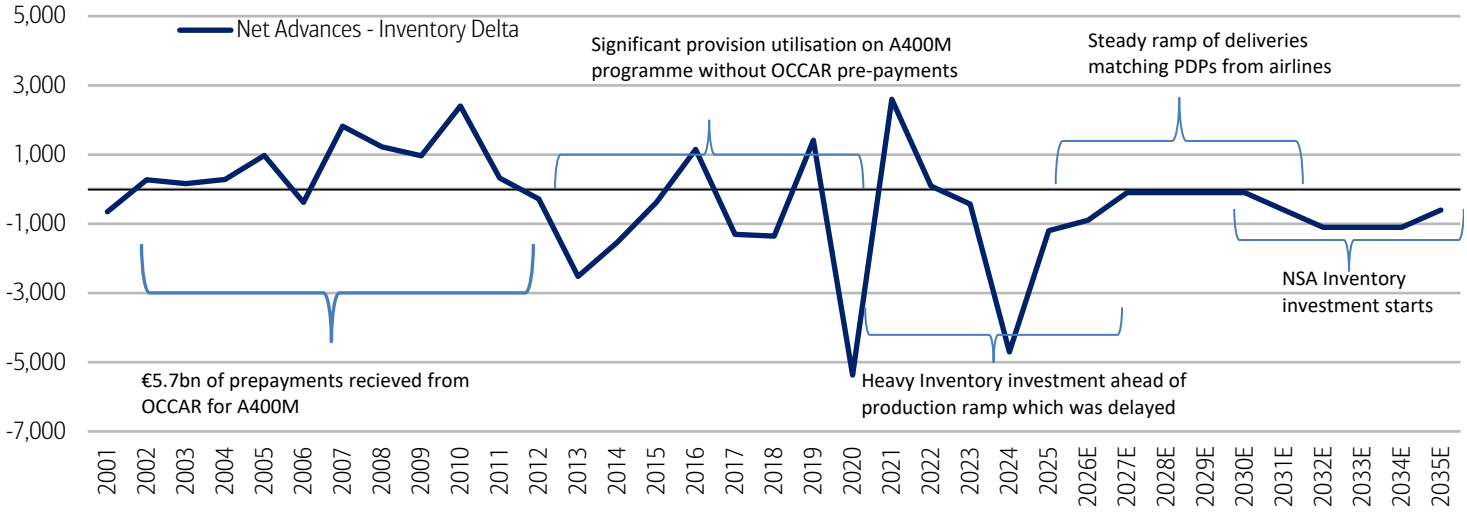
Source: BofA Global Research estimates

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Advances will continue to build in the business as both the defence business grows, but also deliveries grow. Delivery growth feeds Airbus Commercial with PDPs which supports FCF conversion of c.1x. We see the 2032-35 period moving below this as the group prepares for the EIS of the A350-2000 and the NSA.

Exhibit 15: Net advances – inventory delta
We see net inventory s. advances stabilizing 2026-2030 supporting FCF



Source: BofA Global Research estimates

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New vs. old

We update our estimates. Overall, we leave our estimates broadly unchanged, updating for buyback (lower than our previous assumption) and the resulting impact on net cash.

Exhibit 16: New vs. old estimates
We update our estimates. We update our buyback assumptions (we remain above Airbus guidance) and we continue to remain ahead of the mid-term EBIT guide for the group of €12-13bn

	New					Old					New vs. Old				
Eur, mn	2026	2027	2028	2029	2030	2026	2027	2028	2029	2030	2026	2027	2028	2029	2030
Revenues	77,722	86,845	96,459	108,322	112,368	77,425	85,747	94,610	105,252	109,636	0.4%	1.3%	2.0%	2.9%	2.5%
EBIT (pre one-offs)	7,840	8,802	11,808	15,131	15,794	7,676	8,619	11,853	15,481	16,367	2.1%	2.1%	-0.4%	-2.3%	-3.5%
Airbus defined EPS	7.30	8.29	11.31	14.86	16.05	7.12	8.10	11.49	15.61	17.23	2.5%	2.3%	-1.5%	-4.8%	-6.8%
FCFE (BofA def)	4,522	6,267	8,398	11,349	11,882	4,394	6,283	8,713	11,556	12,293	2.9%	-0.2%	-3.6%	-1.8%	-3.3%
Net Debt (Cash)	(13,972)	(15,956)	(18,792)	(22,713)	(25,206)	(14,844)	(15,323)	(14,908)	(16,207)	(16,956)	-5.9%	4.1%	26.1%	40.1%	48.7%
A220	110	115	115	115	115	110	115	115	115	115	0.0%	0.0%	0.0%	0.0%	0.0%
A320 family	645	710	795	865	865	645	710	780	860	860	0.0%	0.0%	1.9%	0.6%	0.6%
A319/A320	225	245	245	245	245	225	300	280	320	320	0.0%	-18.3%	-12.5%	-23.4%	-23.4%
A321	420	465	550	620	620	420	410	500	540	540	0.0%	13.4%	10.0%	14.8%	14.8%
A330	45	45	50	55	60	45	45	50	55	60	0.0%	0.0%	0.0%	0.0%	0.0%
A350	70	90	115	140	140	70	90	115	130	130	0.0%	0.0%	0.0%	7.7%	7.7%

Source: BofA Global Research estimates

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Exhibit 17: BofA vs. Cons

We remain ahead of consensus mid-term in Airbus Commercial

	BofA ests					xx	Consensus					xx	BofAe vs. Cons				
	FY26	FY27	FY28	FY29	FY30		FY26	FY27	FY28	FY29	FY30		FY26	FY27	FY28	FY29	FY30
Group																	
Revenues																	
Airbus Commercial	55,402	62,951	73,385	83,633	86,253		58,257	65,936	74,956	82,638	86,009		-5%	-5%	-2%	1%	0%
Airbus Helicopters	9,510	10,081	10,686	11,327	12,007		9,462	9,981	10,504	11,023	11,657		1%	1%	2%	3%	3%
Airbus Defence & Space	14,343	15,347	13,922	14,896	15,642		14,313	15,307	16,138	17,249	18,585		0%	0%	-14%	-14%	-16%
Other/HQ	-1,534	-1,534	-1,534	-1,534	-1,534		-1,621	-1,755	-1,921	-2,052	-2,125		-5%	-13%	-20%	-25%	-28%
Group	77,722	86,845	96,459	108,322	112,368		80,551	89,558	99,940	109,342	114,587		-4%	-3%	-3%	-1%	-2%
EBIT Adjusted																	
Airbus Commercial	5,876	6,663	9,474	12,545	13,004		5,746	6,946	8,887	10,531	11,349		2%	-4%	7%	19%	15%
Airbus Helicopters	1,003	1,087	1,178	1,276	1,382		980	1,050	1,116	1,191	1,324		2%	3%	6%	7%	4%
Airbus Defence & Space	981	1,072	1,177	1,330	1,428		879	1,020	1,173	1,366	1,542		12%	5%	0%	-3%	-7%
Other/HQ	-20	-20	-20	-20	-20		-18	-26	-28	-22	-26		9%	-23%	-30%	-10%	-22%
Group	7,840	8,802	11,808	15,131	15,794		7,598	8,995	11,164	13,068	14,162		3%	-2%	6%	16%	12%
EBIT Pre One Off Margin																	
Airbus Commercial	10.6%	10.6%	12.9%	15.0%	15.1%		9.9%	10.5%	11.9%	12.7%	13.2%						
Airbus Helicopters	10.5%	10.8%	11.0%	11.3%	11.5%		10.4%	10.5%	10.6%	10.8%	11.4%						
Airbus Defence & Space	6.8%	7.0%	8.5%	8.9%	9.1%		6.1%	6.7%	7.3%	7.9%	8.3%						
Group	10.1%	10.1%	12.2%	14.0%	14.1%		9.4%	10.0%	11.2%	12.0%	12.4%						
Reported EBIT																	
Airbus Commercial	5,776	6,563	9,374	12,445	12,904												
Airbus Helicopters	1,003	1,087	1,178	1,276	1,382												
Airbus Defence & Space	981	1,072	1,177	1,330	1,428												
Other/HQ	-20	-20	-20	-20	-20												
Group	7,740	8,702	11,708	15,031	15,694												
EPS Adjusted	7.30	8.29	11.31	14.86	16.05		7.23	8.57	10.94	12.99	14.26		1%	-3%	3%	14%	13%
FCF (Pre M&A, Financing)	5,022	6,767	8,898	11,849	12,382		4,648	6,710	8,795	10,529	11,554		8%	1%	1%	13%	7%
# of shares	785	777	765	748	726		789	786	781	774	770		0%	-1%	-2%	-3%	-6%
FCF per share	6.4	8.7	11.6	15.8	17.0		5.9	8.6	11.5	14.1	15.9		8%	1%	1%	13%	7%
Conversion	88%	105%	103%	107%	106%		82%	101%	105%	108%	112%						
Airbus Deliveries Inc A220	870	960	1075	1175	1180		870	968	1073	1148	1172		0%	-1%	0%	2%	1%
A220	110	115	115	115	115		109	122	133	140	143		1%	-6%	-14%	-18%	-20%
A320 family	645	710	795	865	865		654	719	789	837	849		-1%	-1%	1%	3%	2%
A319/A320	225	245	245	245	245		233	252	264	278	279		-3%	-3%	-7%	-12%	-12%
A321	420	465	550	620	620		421	467	525	559	570		0%	0%	5%	11%	9%
A330	45	45	50	55	60		39	44	48	52	55		14%	2%	4%	6%	10%
A350	70	90	115	140	140		68	83	103	119	125		4%	9%	12%	17%	12%

Source: BofA Global Research estimates, Visible Alpha consensus

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Price objective basis & risk

Airbus (EADSF / EADSY)

To derive our €258 (US$75.02/ADR) Airbus price objective, we use FCF yield multiples. Our valuation is based on a multiple of 20x, a 25% premium to Airbus through cycle PE of 16x. A premium is warranted in our view in part given an improving supply chain. We use the through cycle PE multiple at our FCF target as we are confident of Airbus' ability to generate 1x FCF / net income medium term. We use this target multiple against our 2029-30 FCF estimates adjusted against the current forward curve and discount back to 2026.

Upside risks to our PO: 1) Euro weakness against USD, 2) a major A350/A320 order. Downside risks to our PO: 1) A350XWB experiences severe in-service disruption, 2) Supply chain disruption and causing delays on rates 3) USD weakness against the EUR.

Analyst Certification

I, Benjamin Heelan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Accelleron	ACLIF	ACLN SW	Uma Samlin
	Airbus	EADSF	AIR FP	Benjamin Heelan
	Airbus Group	EADSY	EADSY US	Benjamin Heelan
	Atlas Copco	ATLPF	ATCOA SS	Alexander Jones, CFA
	Atlas Copco	ATLKY	ATLKY US	Alexander Jones, CFA
	Babcock International	BCKIF	BAB LN	Benjamin Heelan
	Babcock International	BCKIY	BCKIY US	Benjamin Heelan
	BAE Systems	BAESF	BA/ LN	Benjamin Heelan
	BAE SYSTEMS	BAESY	BAESY US	Benjamin Heelan
	Daimler Truck	DTGHF	DTG GR	Alexander Jones, CFA
	Epiroc AB	EPIAF	EPIA SS	Alexander Jones, CFA
	Epiroc AB	EPOAY	EPOAY US	Alexander Jones, CFA
	FLSmidth	FLIDF	FLS DC	Tore Fangmann
	Halma	HLMAF	HLMA LN	Tore Fangmann
	Hensoldt AG	HNSDF	HAG GY	Benjamin Heelan
	Hexagon AB	HXGBF	HEXAB SS	Uma Samlin
	Hexagon AB	HXGBY	HXGBY US	Uma Samlin
	IMI	IMIAF	IMI LN	Tore Fangmann
	Indra Sistemas	ISMAF	IDR SM	Benjamin Heelan
	Jungheinrich Pref	JGHAF	JUN3 GY	Tore Fangmann
	KION Group AG	KNNGF	KGX GY	Tore Fangmann
	Knorr-Bremse AG	KNBHF	KBX GY	Alexander Jones, CFA
	Knorr-Bremse AG	KNRRY	KNRRY US	Alexander Jones, CFA
	Kone OYJ	KNYJF	KNEBV FH	Aron Ceccarelli
	Kone OYJ	KNYJY	KNYJY US	Aron Ceccarelli
	Kongsberg Gruppen	NSKFF	KOG NO	Benjamin Heelan
	Leonardo	FINMF	LDO IM	Benjamin Heelan
	Melrose plc	MLSPF	MRO LN	Benjamin Heelan
	MTU Aero Engines	MTUAF	MTX GY	Benjamin Heelan
	Nibe Industrier	NDRBF	NIBEB SS	Uma Samlin
	Prysmian	PRYMF	PRY IM	Uma Samlin
	Renk Group	RNKGF	R3NK GY	Benjamin Heelan
	Rexel	RXLSF	RXL FP	Aron Ceccarelli
	Rheinmetall AG	RNMBF	RHM GY	Benjamin Heelan
	Rolls Royce	RYCEF	RR/ LN	Benjamin Heelan
	Rolls Royce	RYCEY	RYCEY US	Benjamin Heelan
	Safran	SAFRY	SAFRY US	Benjamin Heelan

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EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Safran SA	SAFRF	SAF FP	Benjamin Heelan
	Schneider	SBGSF	SU FP	Benjamin Heelan
	Schneider	SBGSY	SBGSY US	Benjamin Heelan
	Siemens	SMAWF	SIE GY	Benjamin Heelan
	Siemens	SIEGY	SIEGY US	Benjamin Heelan
	Siemens Energy AG	SMEGF	ENR GY	Alexander Jones, CFA
	Siemens Energy AG	SMERY	SMERY US	Alexander Jones, CFA
	Thales	THLEF	HO FP	Benjamin Heelan
	Volvo Group	VOLVF	VOLVB SS	Alexander Jones, CFA
	Volvo Group	VLVLY	VLVLY US	Alexander Jones, CFA
	Wartsila OYJ	WRTBF	WRT1V FH	Uma Samlin
	Weir Group	WEIGF	WEIR LN	Tore Fangmann
NEUTRAL				
	ABB Ltd	ABLZF	ABBN SW	Benjamin Heelan
	ABB Ltd	ABBNY	ABBNY US	Benjamin Heelan
	Ariston Group	XRTRF	ARIS IM	Uma Samlin
	Assa Abloy	ASAZF	ASSAB SS	Aron Ceccarelli
	Assa Abloy	ASAZY	ASAZY US	Aron Ceccarelli
	Dassault Aviation	DUAVF	AM FP	Benjamin Heelan
	Metso Corporation	OUKPF	METSO FH	Tore Fangmann
	Nexans	NXPRF	NEX FP	Uma Samlin
	Nordex SE	NRDXF	NDX1 GY	Alexander Jones, CFA
	SAAB AB	SAABF	SAABB SS	Benjamin Heelan
	Sandvik	SDVKF	SAND SS	Alexander Jones, CFA
	Sandvik	SDVKY	SDVKY US	Alexander Jones, CFA
	Schindler Group	SHLAF	SCHP SW	Aron Ceccarelli
	ThyssenKrupp Marine Systems	TKMSF	TKMS GR	Benjamin Heelan
UNDERPERFORM				
	Alfa Laval	ALFVF	ALFA SS	Uma Samlin
	Alfa Laval	ALFVY	ALFVY US	Uma Samlin
	Electrolux	ELUXY	ELUXY US	Uma Samlin
	Electrolux	ELRXF	ELUXB SS	Uma Samlin
	GEA	GEAGF	G1A GY	Uma Samlin
	Legrand	LGRVF	LR FP	Aron Ceccarelli
	Legrand	LGRDY	LGRDY US	Aron Ceccarelli
	QinetiQ	QNTQF	QQ/ LN	Benjamin Heelan
	Rational Ag	RTLLF	RAA GY	Uma Samlin
	SKF	SKFRY	SKFRY US	Alexander Jones, CFA
	SKF	SKUFF	SKFB SS	Alexander Jones, CFA
	Traton	TRATF	8TRA GY	Alexander Jones, CFA
	Traton	XTONF	8TRA SS	Alexander Jones, CFA
	Trelleborg	TBABF	TRELB SS	Alexander Jones, CFA
	Vestas	VWSYF	VWS DC	Alexander Jones, CFA
	Vestas	VWDRY	VWDRY US	Alexander Jones, CFA

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iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

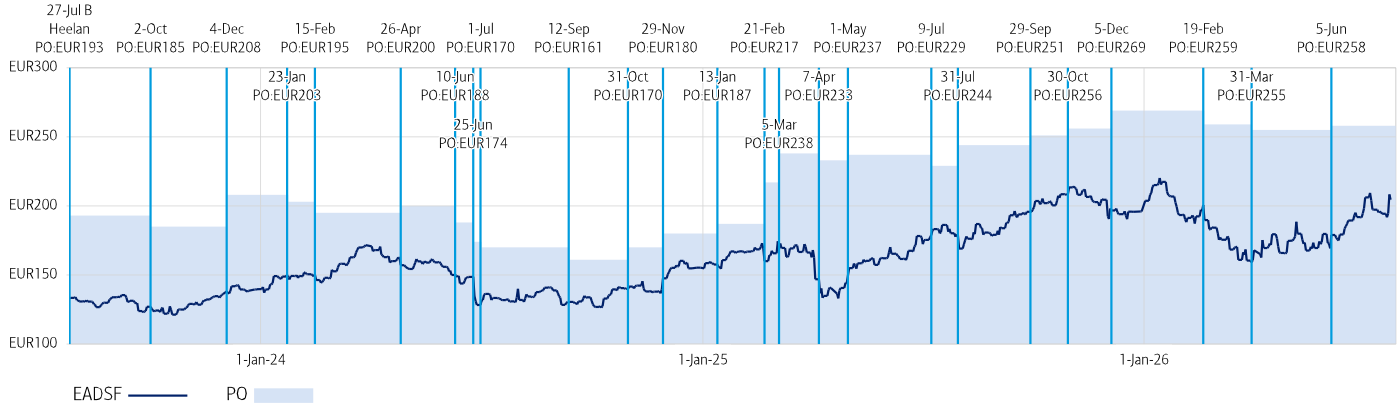
iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

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Disclosures

Important Disclosures

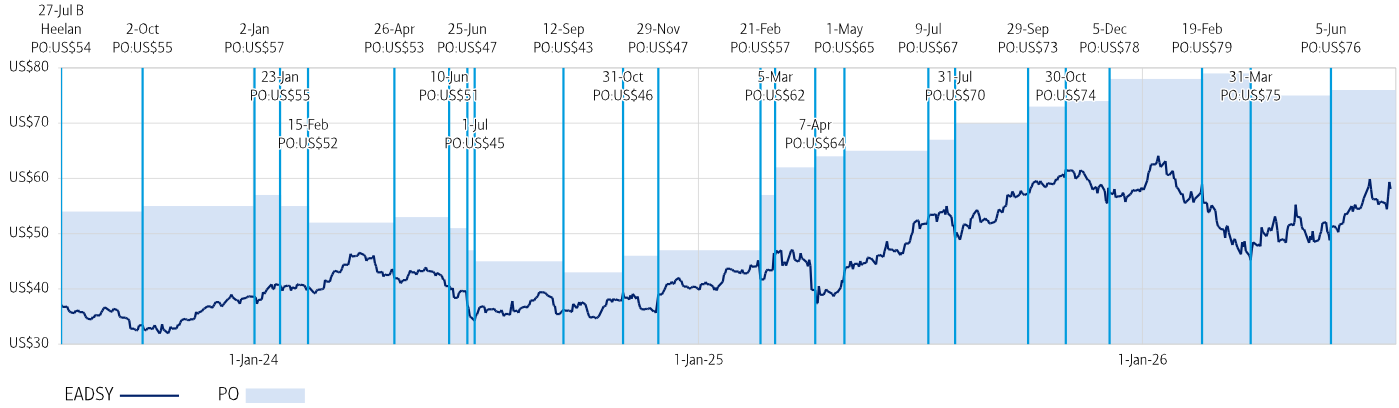
Airbus (EADSF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Airbus (EADSY) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Aerospace/Defense Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	44	69.84%	Buy	36	81.82%
Hold	13	20.63%	Hold	10	76.92%
Sell	6	9.52%	Sell	5	83.33%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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